



CHAPTER xxvi.

An Act to confirm a Provisional Order under the Private Legislation Procedure (Scotland) Act 1899 relating to the Scottish Provident Institution. A.D. 1901.
[2nd July 1901.]

WHEREAS His Majesty's Secretary for Scotland has made the Provisional Order set forth in the schedule hereunto annexed under the provisions of the Private Legislation Procedure (Scotland) Act 1899 and it is requisite that the said Order should be confirmed by Parliament: 62 & 63 Vict.
c. 47.

Be it therefore enacted by the King's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows:—

1. The Provisional Order contained in the schedule hereunto annexed shall be and the same is hereby confirmed. Confirmation of Order in schedule.

2. This Act may be cited as the Scottish Provident Institution Order Confirmation Act 1901. Short title.

A.D. 1901.

SCHEDULE.

SCOTTISH PROVIDENT INSTITUTION.

Provisional Order to confer further powers on the Scottish Provident Institution and on the Directors thereof and for other purposes.

11 & 12 Vict.
c. cvi.

WHEREAS the Scottish Provident Institution (herein-after called "the Institution") was established in the year 1837 on the principle of mutual life assurance under a deed of constitution and laws and regulations of date the twelfth day of May one thousand eight hundred and thirty-seven and subsequent dates and recorded in the books of Council and Session at Edinburgh the eighth day of June in the same year and was by the Act eleven and twelve Victoria chapter one hundred and six intituled "An Act for incorporating the Scottish Provident Institution for confirming the laws and regulations thereof for enabling the said Society to sue and be sued to take and hold property and for other purposes relating to said Society." (herein-after called "the Act of 1848") incorporated and authorised to carry on the business of effecting assurances on lives and survivorships purchasing and selling annuities and reversions granting endowments receiving money for investment and accumulation and in general to carry on all the business connected with a life assurance society in all the various branches thereof in any part of His Majesty's dominions of Great Britain and Ireland and the Colonies or elsewhere:

47 & 48 Vict.
c. xxiv.
56 & 57 Vict.
c. xi.

And whereas by the Scottish Provident Institution Act 1884 and by the Scottish Provident Institution Act 1893 (herein-after called "the Act of 1884" and "the Act of 1893" respectively) the powers of investment possessed by the Institution were extended and the Act of 1848 and the deed of constitution and the laws and regulations of the Institution were in divers respects amended and further powers were conferred upon the Institution and the Directors thereof:

And whereas the said deed of constitution and laws and regulations have been further altered and amended from time to time in accordance with the provisions of the said recited Acts:

And whereas in view of the general fall in the rate of interest obtainable on money it may become necessary to frame and adopt new tables of premiums in place of the tables of premiums referred to in the said deed of constitution of the Institution and engrossed in the minute book of the Institution on the 14th day of August 1837 and it is expedient that powers should be conferred for that purpose:

And whereas it is expedient to enlarge the powers of the Institution with regard to the issue of assurances with right of participation in the surplus assets of the Institution and to provide for the formation of separate funds in respect of such assurances:

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And whereas it is expedient to make new provisions with respect to the periodical investigation of the affairs of the Institution : A.D. 1901.

And whereas it is expedient that the office of trustee of the Institution created by the deed of constitution and the laws and regulations of the Institution relative to such office should be abolished and other provisions made in lieu thereof :

And whereas it is expedient otherwise to amend the recited Acts and the deed of constitution and laws and regulations of the Institution and to make such other provisions as are in this Order contained :

And whereas the purposes aforesaid cannot be effected without an Order of the Secretary for Scotland confirmed by Parliament under the provisions of the Private Legislation Procedure (Scotland) Act 1899 :

Now therefore in pursuance of the powers contained in the last-mentioned Act the Secretary for Scotland orders as follows :—

1. This Order may be cited for all purposes as the Scottish Provident Institution Order 1901 and the Acts of 1848 and 1884 and 1893 and this Order may be cited together as the Scottish Provident Institution Acts and Order 1848 to 1901. Short title.

2. In this Order the expression "the recited Acts" means the Act of 1848 the Act of 1884 and the Act of 1893. The expressions "the Board" "the Directors" "members of the Institution" and "members" have the meanings assigned to them respectively in section 4 of the Act of 1884. The expression "the trustees of the Institution" means the trustees appointed by virtue of the deed of constitution and the laws and regulations of the Institution. Interpretation.

3. The Directors shall have power from time to time to frame new tables of premiums based on such rates of interest and on such tables of mortality as they shall think fit which new tables of premiums shall subject to the proviso herein-after contained be adopted and used for the purposes of the Institution for which they are respectively intended. Provided that where new tables have been framed by the Directors in substitution for any of the tables referred to in the deed of constitution of the Institution and engrossed in the minute book of the Institution on the fourteenth day of August one thousand eight hundred and thirty-seven or in substitution for any tables at the time in force instead of such engrossed tables the new tables shall be of no force or effect until they have been approved by an annual general or extraordinary general meeting of members. New tables of premiums.

4. The contributions payable in respect of any policy of assurance effected with the Institution shall not be increased and the benefits thereby assured shall not be affected in consequence of any change in the tables made under the provisions of this Order after such policy of assurance has been effected. Alteration of tables not to affect assurances then existing.

5.—(1) In addition and without prejudice to the existing powers of the Institution an annual general meeting or extraordinary general meeting of members may at any time direct the formation of a special class or of special classes of assurances whether such assurances be dependent on the contingency of one life surviving another or of the life assured predeceasing or surviving Formation of classes of assurances and separate funds in connexion therewith.

A.D. 1901. any assigned period or on any other contingency or circumstance with right of participation by each class in the surplus arising from the special fund or funds created for such class as herein-after provided.

(2) An annual general meeting or extraordinary general meeting of members may at any time direct that the contributions and other sums from time to time received in respect of assurances of any such class issued after the passing of this Order shall be carried to a special account in the books of the Institution to form a separate fund or funds (in this Order referred to as a "special fund" or "special funds") in which the holders of assurances of the class in respect of which any such fund shall have arisen shall be interested to the exclusion of the holders of all other assurances and without any right and interest in the other funds of the Institution except such temporary provisions (if any) as an annual general or extraordinary general meeting of members may deem proper to make for meeting the charges upon the special fund until the same shall have attained an amount rendering such temporary provisions no longer necessary.

(3) It shall not be necessary to invest any special fund separately from the other funds of the Institution but if at any time occasion should arise for allocating the assets of the Institution not specifically appropriated to any fund such allocation shall be made rateably in proportion to the respective amounts of the special fund and other funds of the Institution as appearing in the books of the Institution in so far as not respectively represented by specific investments.

(4) The special funds shall respectively be credited with such proportion of the income of the Institution from invested funds and charged with such proportion of expenses as in the opinion of the directors shall be just and equitable.

(5) Any profit arising from or loss sustained in connexion with any business not conferring a right to participate in the surplus assets of the Institution shall belong to or be borne by the general funds of the Institution to the exclusion of the special funds except in so far as an annual general or extraordinary general meeting of members may from time to time otherwise decide.

(6) The resolution of an annual general or extraordinary general meeting of members providing for the creation of any special fund or special funds may regulate and prescribe the manner in which any surplus of assets arising in connexion therewith shall be ascertained and the division or apportionment of such surplus or of any part thereof and the method of allocation as between the several holders of assurances in respect of which the special fund or funds shall have been created but unless otherwise determined by an annual general or extraordinary general meeting the provisions now in force for the ascertainment of the surplus assets of the Institution and the distribution thereof and the making of retrospective additions and contingent prospective additions to assurances shall be applied separately to each special fund.

Rights of
policy holders
in the funds
of the Institu-
tion.

6. The person or persons entitled to the benefit secured by every policy shall have a joint and pro indiviso interest in proportion to the value of such policy according to the laws of the Institution either in the general funds of

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the Institution exclusive of special funds or in the special fund applicable to such policy as the case may be. A.D. 1901.

7. The periodical investigation of the Institution's affairs provided for by the deed of constitution and laws and regulations of the Institution shall be made at the end of every seven years as heretofore or at the end of such other period as may be prescribed by an annual general meeting or extraordinary general meeting of members and the annual general meetings of members in the years when investigations fall to be reported shall be held on the last Wednesday of April or on such other day in those years as the Board shall appoint. Date of periodical investigation.

8. From and after the date of the first annual general meeting of members which shall be held in the year next after the passing of the Act confirming this Order the present trustees of the Institution shall cease to hold office and the office of trustee shall be abolished and any annual general meeting shall have power to appoint such persons as they think fit and as will accept office to be styled honorary directors or to have such other title as shall seem to such meeting to be suitable and who shall hold office until they respectively die or resign when others may be appointed by any general meeting in their place and any such meeting may assign to the office such duties in connexion with the affairs of the Institution with or without remuneration as to such meeting shall seem right and may from time to time alter vary or rescind any such duties. Office of trustee abolished
Honorary directors may be appointed.

9. The Directors shall have power to appoint local directors in the United Kingdom or in India or in any British Possession or elsewhere to hold office during the pleasure of the Directors and may confer upon such local directors or upon such officers of the Institution as they may deem proper power to accept proposals for granting assurances or annuities and to execute appropriate policies of assurance bonds of annuity and other relative documents. Directors may appoint local directors &c.

10.—(1) The Directors may lay out such part of the funds of the Institution as they shall think proper in the purchase of any lands in England Wales or Ireland and also in the stock or shares in any company which by law or by the constitution of such company may be deemed real estate or possess some of the incidents of real estate Provided that the total amount so laid out and remaining invested shall not at any one time exceed five hundred thousand pounds exclusive of any lands which the Institution may acquire for business premises or in connexion therewith and also exclusive of stock or shares in any such company as aforesaid. Extending powers of Institution as to investment in land &c.

(2) Nothing in this Order or in any of the recited Acts shall be held as limiting the powers of the Institution to hold lands in any country as freely as any body corporate may hold lands according to the laws of the country in which such lands are situate.

11. Nothing herein contained shall relieve or discharge the Institution or any present member from any contracts responsibilities debts engagements or obligations to which the Institution or such member is at present liable Existing rights reserved.

A.D. 1901. but the same are hereby reserved entire as if this Order had not been made
— And nothing herein contained shall be held to invalidate or affect the deed of constitution and laws and regulations of the Institution or any of the powers therein contained or any of the byelaws or other alterations of the deed of constitution made or to be made in virtue of the powers given by the said deed excepting always in so far as the same are expressly altered or varied by the recited Acts as amended by this Order or by this Order or are or shall be contrary to the true intent and meaning thereof and the Institution and the Board shall have the same powers as they at present have under the recited Acts and deed of constitution and laws and regulations and byelaws to alter the laws and regulations and make byelaws or new laws rules and regulations and the deed of constitution laws and regulations of the Institution the powers therein contained and the byelaws or other alterations of the deed of constitution made or to be made shall be as obligatory on the members and others as if this Order had not been passed Provided always that the same shall not be inconsistent with the provisions of the recited Acts as amended by this Order or of this Order nor contrary to the true intent and meaning thereof.

Provision as
to future
general Acts.

12. Nothing in this Order contained shall exempt the Institution from the provisions of the Life Assurance Companies Acts 1870 to 1872 or of any general Act passed during the present or any future session of Parliament and affecting life assurance companies formed previously to the passing thereof.

Costs of Order
and Con-
firming Act.

13. All costs charges and expenses preliminary to and of and incidental to preparing and passing this Order and the Act confirming the same shall be paid by the Institution.

Printed by EYRE and SPOTTISWOODE,

FOR

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